

CUI
JUSTIFICATION FOR FULL AND OPEN COMPETITION

SOLICITATION SPE7M224R0021

Controlled By: Defense Logistics Agency
Controlled By: Land and Maritime/FMVC
CUI Category: Source Selection
Distribution/Dissemination Control: FED ONLY
POC: [REDACTED]

[X] ORIGINAL

1. The Defense Logistics Agency, DLA Land and Maritime, is the contracting activity.
2. The action being approved is the acquisition of supplies on other than a full and open competition basis.
3. The proposed action is for solicitation and award of a Firm, Fixed Price (FFP) contract with no options. The supplies required to meet the using activity's needs are described as follows:

BRIEF DESCRIPTION	NSN/P/N	QTY	TOTAL EST. VALUE	AMSC
1560-01-668-3317	Cover, Access, Aircraft	1 - 9	\$ [REDACTED]	C

Identify end item, weapon system, or class of item: This NSN 1560-01-668-3317 is described as a Cover, Access, Aircraft for the 82N Aircraft Launch and Recovery (ALRE) and is part of the arresting gear for shipboard aircraft recovery operations. The item is a Critical Safety Item (CSI) and has a special procedures category code of (01). WSIC F: failure will rend item inoperable. This item will be solicited for a Firm-Fixed-Price (FFP) contract for 6 EA with no options, but with quantity ranges of 1 EA up to 9 EA.

ESTIMATED VALUE: (6 EA) \$ [REDACTED]

ESTIMATED MAXIMUM VALUE: (9 EA) \$ [REDACTED]

4. The statutory authority permitting other than full and open competition is:

[X] 10 U.S.C. 3204(a)(1) - Available from only one or a limited number of sources.
5. If restricted to the only source(s) of supply, include source(s) and CAGE codes: CAGE (1V517) Dudhadaway Tool and Die, CAGE (20722) The Entwistle Company, CAGE (81A16) York Precision Machining and Hydraulics, CAGE (1P555) Precision Custom Components, CAGE (0BVP9) Capy Machine Shops, and CAGE (58974) Penn State Tool and Die. NAVAIR (80020) is the design activity for the drawings. The sources listed by NAVAIR on their Technical Data Requirements (TDR) document are the only manufacturers that have the appropriate manufacturing expertise and quality capabilities. Although the government possesses drawings for this part, it is necessary to limit competition to those companies with

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engineering source approval by the design control activity. Part number 11-61649-4L has been identified as the part number for these approved sources.

Over the past 30-plus years, aircraft have continued to increase in weight, while many of the ALRE systems and components have not undergone significant redesign to accommodate these higher energy loads, resulting in diminished safety. In response, NAVAIR established the ALRE Flight Safe Program, which governs the life-cycle management of ALRE Critical Safety Items (CSI) and Critical Application Items (CAI). These items, as determined by NAVAIR, are essential to weapons system performance and the preservation of life and the safety of operational personnel. ALRE CSI and CAI are identified in the DLA Enterprise Business Systems (EBS) Material Master, Classification Tab, CIM sub-tab, with a Special Procedures Code (SPC) of "01." NAVAIR designates ALRE items as CSI or CAI through the Navy Joint Deficiency Reporting System, which feeds the code (SPC-01) into EBS. Technical Data Requirements (TDR) containing a list of approved sources, as designated by NAVAIR and NAVSUP, are required for all such items. When an ALRE item is coded SPC-01, DLA procures as instructed per the TDR from the list of approved sources in accordance with NAVAIRISNT 13800.18A. It is essential to the integrity of the ALRE Flight Safe Program and critical to naval aviation safety that DLA only procure the product of an approved source.

It has been demonstrated that CAGE (1V517) Dudhadaway Tool and Die, CAGE (20722) The Entwistle Company, CAGE (81A16) York Precision Machining and Hydraulics, CAGE (1P555) Precision Custom Components, CAGE (0BVP9) Cappy Machine Shops, and (CAGE) 58974 Penn State Tool and Die have the unique and proven manufacturing capabilities to establish and maintain the process controls to manufacture this item and are the only sources known to possess the manufacturing knowledge and capability to produce the item to required quality standards. The components being acquired under this solicitation have been classified as "critical" requiring engineering source approval by Naval Air Systems Command (NAVAIR). Only those companies who have submitted requests for source approval and have been approved will be eligible for award. Any manufacturers that are not approved by NAVAIR will be required to submit a Source Approval Request (SAR) Package for the Navy ESA to approve for future procurements.

In addition, NAVAIR INST 4200.56 states the following regarding sources. Per references (a) and (g), a CSI shall be purchased or repaired and/or overhauled only from sources approved by the Technical Authority (TA). References are as follows: (a) Public Law 108-136, Sec. 802, Quality Control in Procurement of Aviation Critical Safety Items and Related Services and (g) SECNAVINST 4140.2.

On August 5, 2024, the Product Specialist, Jimmy Ray, certified that the technical information, including the AMC/AMSC coding of 1/C is complete and accurate. **(See Attachment 1 - FAR 6.303-2 (c) Supporting Data Certification)**

The use of the authority cited below:

[X] AMC 1. Suitable for competitive acquisition for the second or subsequent time.

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The use of the authority cited is based on:

[X] AMSC C. This part requires engineering source approval by the design control activity to maintain the quality of the part. Existing unique design capability, engineering skills, and manufacturing knowledge by the qualified source(s) require acquisition of the part from the approved source(s). The approved source(s) retain data rights, manufacturing knowledge, or technical data that are not economically available to the Government, and the data or knowledge is essential to maintaining the quality of the part. An alternate source must qualify in accordance with the design control activity's procedures, as approved by the cognizant Government engineering activity. The qualification procedures must be approved by the Government engineering activity having jurisdiction over the part in the intended application. If one source is approved AMCs 3, 4, or 5 are valid. If at least two sources are approved or if data is adequate for an alternate source to qualify in accordance with the design control activity's procedures, AMCs 1 or 2 are valid. The weapon system indicator code is F "failure will render end item inoperable". As such, acquisition from the currently approved sources is required to maintain the quality of the part.

Pursuant to the engineering and design activity, Naval Air Systems Command (NAVAIR) the sources cited in paragraph 5 have the appropriate knowledge, manufacturing expertise and quality capabilities to supply this NSN. This is a flight critical safety item and in accordance with DFARS 209.270, DLA must procure this item only from those sources approved by the design control activity.

6. Efforts to ensure that offers are solicited from as many sources as practicable are:

[X] A Sources Sought notice was posted to SAM.gov/Contract Opportunities on August 4, 2024, for five (5) business days with an attached market survey questionnaire. The Sources Sought notice produced one (1) response from CAGE (9SW57) BHPE LLC, in which the buyer forwarded the DLA SAR Guide on August 5, 2024.

The acquisition will be synopsized on or about August 23, 2024, for 15 days to SAM.gov/Contract Opportunities. The solicitation will then be posted to DIBBs for 30 days.

7. I hereby determine that the anticipated cost to the Government will be fair and reasonable. The Government may request Other than Cost and Pricing data pursuant to FAR 15.403-3. The sister part number was awarded in 2021 and may be used to perform price analysis by using the PPI and Learning Curve analysis and or the Price Tool in EDW. The similar item is the right side whereas the current NSN is the left side.

8. Market Research/Efforts to Obtain Competition:

Market Survey [10 U.S.C. 3204(e)(2)(D)]: This is a first time buy for this item. However, the sister/similar item was purchased in 2021. A Sources Sought notice was posted to SAM.gov on August 4, 2024, to assist the buyer in preparing a beneficial solicitation. Market research was conducted via a survey/questionnaire sent to CAGE (1V517) Dudhadaway Tool and Die, CAGE (20722) The Entwistle Company, CAGE (81A16) York

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Precision Machining and Hydraulics, CAGE (1P555) Precision Custom Components, CAGE (0BVP9) Capy Machine Shops, and CAGE (58974) Penn State Tool and Die.

Total number of vendors contacted: Seven (7)

Names of vendors contacted and responding: CAGE (81A16) York Precision Machining and Hydraulics, CAGE (1P555) Precision Custom Components, CAGE (0BVP9) Capy Machine Shops, responded whereas CAGE (1V517) Dudhadaway Tool and Die, CAGE (20722) The Entwistle Company, CAGE (58974) Penn State Tool and Die did not.

Techniques used to conduct survey:

- Posted a Sources Sought on August 4, 2024, for 5 business days with an attached market survey to Sam.Gov/Contract Opportunities.
- Use of previous market surveys and contracts for a similar item.
- Internet Search.

Types of information requested: Business size, estimated price and delivery, economical quantities, commerciality, purpose and function, and capability to provide Certified Cost and Pricing Data.

Summary of information received:

CAGE (1V517) Dudhadaway Tool and Die – Did not respond to the questionnaire

CAGE (20722) The Entwistle Company – Did not respond to the questionnaire

CAGE (81A16) York Precision Machining and Hydraulics – Will not participate in this procurement. [REDACTED]

CAGE (1P555) Precision Custom Components – May participate. PCC Engineering currently reviewing the drawings posted to cFolders.

CAGE (0BVP9) Capy Machine Shops – [REDACTED]

[REDACTED] Capy completed the questionnaire. They are a small business manufacturer with 50 employees. They do not have a parent company. They sell all their product to the Government and deal exclusively with the Government. The item is not catalog priced. [REDACTED]

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CAGE (58974) Penn State Tool and Die - Did not respond to the questionnaire

Information received regarding the commerciality of the item(s): This is exclusively used for the ALRE, Catapult and Arresting Gear. Review of Material Master indicates that this NSN has an AMC/AMSC rating of 1/C, and the "Commercial Off the Shelf" box in MM03 is blank. An internet Google search was conducted and while this NSN is listed on multiple Government part resale sites, there is no pricing shown. No true commercial sales websites for this NSN were found. The item does not appear on GSA Advantage. The internet search and the technical information provided by the Product Specialist do not identify this item as commercial. There is no evidence that this NSN is available on the commercial market nor is it of a type customarily used by the general public or by non-governmental entities for purposes other than government or military purposes as defined in FAR 2.101. The Contracting Officer, after review of all the information provided regarding commerciality of the item, has determined that this item is non-commercial. Therefore, FAR 15 procedures will be utilized.

9. Additional facts supporting other than full and open competition are:

[X] Other: (Explain) This is a Critical Safety Item with a Special Procedures Category (SPC) code of "01". Naval Air Systems Command, Lakehurst (NAVAIR) is the design control activity and determines which manufacturers capable of producing the item to its CSI requirements. The components being acquired under this solicitation have been classified as "critical" requiring engineering source approval by Naval Air Systems Command (NAVAIR). Only those companies who have submitted requests for source approval and have been approved will be eligible for award. Any manufacturers that are not approved by NAVAIR will be required to submit a Source Approval Request (SAR) Package for the Navy ESA to approve for future procurements.

10. A listing of sources, if any, indicating an interest in the acquisition is: CAGE (1P555) Precision Custom Components and CAGE (0BVP9) Capy Machine Shops

11. The following actions are being taken to identify additional sources:

[X] Other (Explain): The solicitation will post to the DLA DIBBs website for 30 days. Any manufacturers or vendors who would like to pursue source approval will receive Source Approval guidance for submission to the design activity, NAVAIR, and the DLA Competition Advocate's Office. The solicitation will include DLAD Procurement Notes L04 and M06.

I hereby certify that the information contained in this justification is accurate and complete to the best of my knowledge and belief. If not exceeding \$750,000, this signature serves as the approval.

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Date: 2024.09.13 11:19:57 -04'00'

Heather A. Hensel/Contracting Officer

APPROVAL/CERTIFICATION

APPROVAL REQUIREMENTS

[X] Up to \$750,000

Contracting Officer

ATTACHMENTS:

Attachment 1 - FAR 6.303-2 (c) Supporting Data Certification